



Covered Materials & Producer Definitions: **Colorado**

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Version History

Version	Published Date	Updates
Version 1.0	Sep. 30, 2024	Initial release
Version 1.1	Nov. 18, 2024	Minor updates to reflect the change in CAA's domain to "circularaction.org" and the launch of the Producer Support email address Producer.Support@circularaction.org .
Version 2.0	Jan. 20, 2025	Small Business exemption revenue limit updated.
Version 3.0	June 2, 2025	Additional business relationship scenarios have been added to clarify the obligated producer in different business relationships Clarification that receipts are a covered material and not exempt under C.R.S § 25-17-703 (13)(b)(III) for printed paper used for vital documents. Clarification to exempt materials under C.R.S § 25-17-703 (13)(b)(XI) related to products packaged in materials designed to comply with the Poison Prevention Packaging Act of 1970.



Version	Published Date	Updates
Version 4.0	Aug. 7, 2025	Update to a business relationship scenario has been added to clarify the obligated producer in Colorado. Clarification that printed paper such as financial statements and promotional brochures are covered materials and not exempt under C.R.S § 25-17-703 (13)(b)(III) for printed paper used for vital documents.
Version 5.0	Oct. 31, 2025	Separation of Colorado and Oregon guidance to provide stand-alone documents for each state. Clarification to exemption C.R.S § 25-17-703 (13)(b)(III) for printed paper used for vital documents. As clarified by CDPHE, the following financial documents based on 12 CFR Section 1030.3 (Regulation DD) requires that these documents be provided in paper format: • periodic statements, • interest balance statements, and • subsequent disclosures / changes in terms statements Addition of Appendix A Determining the Party Who Directs the Manufacturing in Colorado Addition of Appendix B Examples of Covered and not Covered Materials



Version	Published Date	Updates
Version 6.0	March 25, 2026	Updated to reflect amendments to Section 18 Producer Responsibility Regulations adopted by the Solid and Hazardous Waste Commission on Nov. 18, 2025, including: • Addition of definition of “Brand owner” • Clarification of definition of “Small business” • Clarification to order of obligation for producers of packaging used in internet transactions • Clarification of obligated producer when business operates as part of a franchise • Additional Business relationship scenarios added for service packaging and food serviceware





Introduction

The information provided below is designed to help businesses identify the materials that are captured under Colorado's Producer Responsibility Program for Statewide Recycling Act ([C.R.S §§ 25-17-701– 25-17-716](#)), and its regulations ([6 CCR 1007-2, Part 1, Sections 1 and 18](#)) and the responsible producer for those materials. Circular Action Alliance (CAA) is providing the following detailed information for Colorado to prepare producers to report their supply data each year.

Obligated producers that have not yet registered with CAA must do so and will also be required to sign a Producer Participant Agreement and state addendum prior to reporting. Producers may register at <https://www.circularactionportal.org/producers/s/producer-registration>.

The definitions of obligated producer and covered materials were subject to the state rulemaking process and this guidance reflects the regulations that were approved by the Colorado Solid and Hazardous Waste Commission on June 14, 2024, and amendments adopted on November 18, 2025. These regulations may be periodically updated and producers are encouraged to visit the following site for any further amendments: [6 CCR 1007-2, Part 1, Sections 1 and 18](#).

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Determining Your Obligations in Colorado

There are two primary questions businesses need to ask to help determine if they are obligated under C.R.S §§ 25-17-701–25-17-716 and 6 CCR 1007-2, Part 1, Sections 1 and 18:

Is the material associated with my products covered by Colorado’s packaging Extended Producer Responsibility (EPR) law?

Is my business the responsible producer for those materials?

EPR laws for packaging and paper vary from state to state but are generally designed to apply to single-use packaging, paper, and some disposable products. As a first step in the process of identifying whether a company has EPR obligations in Colorado, companies should review with their attorneys the definitions of each material type to determine whether the materials associated with the products placed in the market in Colorado are subject to the state’s EPR law. Second, companies should review the producer hierarchy associated with the covered materials to determine if their business is the obligated producer for those materials.

Colorado has also identified exemptions of specific materials and has also exempted certain producers from the obligations of their state EPR law. Those exemptions are also outlined in this guidance document.

For the convenience of producers, CAA has compiled into one place the Colorado EPR statutory and regulatory language. This provides producers one resource for all the relevant definitions and the associated producer hierarchies for different categories of covered materials. Producers will also find a series of scenarios that illustrate common business relationships to indicate which business in the supply chain is the obligated producer for the covered material.



Definitions

Statute: C.R.S § 25-17-703 Definitions

(13) (a) "Covered Materials" include:

(I) Packaging material, except as specified in subsection (13)(b) of this section, and

(II) Paper products, except as specified in subsection (13)(b) of this section.

Regulation: [6 CCR 1007-2, Part 1, Section 18.1.6 Definitions of Terms Used in this Section](#)

"Covered Materials" includes:

(a) packaging material, except as specified in section 703(13)(b) of the Producer Responsibility Act, and

(b) paper products, except as specified in section 703(13)(b) of the Producer Responsibility Act.



Covered Material Type	Specific Scenario	Producer Hierarchy (Statute and Regulation)
Packaging Material Section 18.1.6 Definitions of Terms Used in this Section “Packaging material” means any material, regardless of recyclability, that is intended for single or short-term use and is used for the containment, protection, handling, or delivery of products to the consumer at the point of sale, including through an internet transaction. Packaging material includes products	Product sold or distributed in the state (brick and mortar stores) Unfilled Food and Beverage Packaging Material Section 18.1.6 Definitions of Terms Used in this Section “Unfilled food and beverage packaging material” Means a product that is not used as packaging when supplied to or purchased by consumers individually or in bulk but are then used by consumers at a later point for the express purpose of facilitating food or beverage	Section 18.1.6 Definitions of Terms Used in this Section “Producer” means: (a) (I) if the product is sold or distributed in the state using packaging materials under the manufacturer’s own brand or is sold or distributed in the state using packaging materials that lack identification of a brand, the person that manufactures the product; (II) if the product is manufactured by a person other than the brand owner, the person that is the licensee of a brand or trademark under which a packaged item is sold or distributed in the state, whether or not the trademark is registered in the state; or (III) if there is no person described in section 703(30)(a)(I) or (30)(a)(II) of the Producer Responsibility Act, within the United States, the person that imports the product using covered materials into the United States for use in a commercial enterprise that sells or distributes the item in the state; “Brand owner” means the person who owns the brand which includes the person directing the manufacturing, including setting



Covered Material Type	Specific Scenario	Producer Hierarchy (Statute and Regulation)
supplied to or purchased by consumers for the express purpose of facilitating food or beverage consumption and that are: (a) ordinarily disposed of after a single or short-term use; and (b) not designed for reuse or refill. Packaging material includes paper, plastic, glass, metal, cartons, flexible foam, rigid packaging, or other materials or	consumption.	specifications for a paper product or a product's packaging. Section 18.2.2 Order of Obligation The following producers are subject to the Program in order of who is first obligated, if the product is sold or distributed in Colorado (except for paragraph E): (A) Producers of Products Using Packaging Materials and Producers of Unfilled Food and Beverage Packaging Material (1) The brand owner of the product directing or performing the manufacturing of the packaging material used for the product; (2) If (1) does not apply, then the brand or trademark licensee of the product directing the manufacturing of the packaging material used for the product; (3) If there is no identified brand on the packaging materials and neither (1) nor (2) applies, then the manufacturer of the product using covered materials; or (4) If (1) through (3) do not apply, then the importer into the United States of the product using covered materials.



Covered Material Type	Specific Scenario	Producer Hierarchy (Statute and Regulation)
combination of these materials. Packaging material does not include: (a) packaging materials used solely in transportation or distribution to non-consumers, (b) packaging materials used solely in business-to-business transactions where a covered material is not intended to be distributed to the end consumer, (c) packaging materials that are not sold or distributed to	Products sold or distributed in the state through an internet transaction	Section 18.1.6 Definitions of Terms Used in this Section “Producer” means: (b) for the purposes of products that are sold or distributed in the state through an internet transaction: (i) the producer of the packaging material used to directly protect or contain the product; and (ii) for the purposes of packaging material used to ship a product to a consumer, the person that packages or ships the product to the consumer; Section 18.2.2 Order of Obligation (B) Producers of Packaging Materials Used in Internet Transactions (C) Internet transactions involve two obligated producers, both who are equally obligated: (1) Producers of packaging material used to directly protect or contain the product (follow determination in (A)); and (2) The person that packages or ships the product to the consumer.
	Service Packaging	Section 18.2.2 Order of Obligation



Covered Material Type	Specific Scenario	Producer Hierarchy (Statute and Regulation)
covered entities, or (d) packaging materials that are used for products sold or distributed outside the state.	Section 18.1.6 Definitions of Terms Used in this Section “Service packaging” means material that is added at the point of sale by retail, food service, or other service entities to facilitate the delivery or consumption of products, which includes but is not limited to all bags, boxes, cups, plates, containers and other items for the direct or indirect containment of products. Examples of service packaging include but are not limited to: 1) Single-use carry-out bags provided at checkout;	The following producers are subject to the Program in order of who is first obligated, if the product is sold or distributed in Colorado (except for paragraph E): (D) Producers of Service Packaging (1) The brand owner directing or performing the manufacturing of the service packaging; (2) The brand or trademark licensee directing or performing the manufacturing of the service packaging; (3) Where the producer in (1) or (2) is a business operated wholly or in part as a franchise, the producer is the franchisor, if that franchisor has franchisees that operate in Colorado (4) If there is no identified brand on the packaging materials and neither (1), (2) nor (3) applies, then the manufacturer of the service packaging; (5) If (1) through (4) does not apply, then the importer of the service packaging into the United States. (6) If (5) does not apply, then the distributor who first distributes the service packaging within or into the state.



Covered Material Type	Specific Scenario	Producer Hierarchy (Statute and Regulation)
	2) Bags filled at in-store with items such as produce, bulk goods, and baked goods; 3) Food wraps, single-use trays, bags and associated items provided by bakeries, delis, or used for meat or fish; 4) Flow boxes & wraps/trays provided for containing multiple plants purchased at a nursery; 5) Single-use plates/containers/cups and associated items provided to residential consumer to facilitate delivery of food/beverages;	



Covered Material Type	Specific Scenario	Producer Hierarchy (Statute and Regulation)
	6) Take-out and home delivery food service packaging such as but not limited to pizza boxes.	
Paper Products Section 18.1.6 Definitions of Terms Used in this Section “Paper products” means paper and other cellulosic fibers, whether or not they are used as a medium for text or images, including: (a) flyers; (b) brochures;	Publications	Section 18.1.6 Definitions of Terms Used in this Section “Producer” means: (c) for the purposes of a paper product that is a magazine, newspaper, catalog, telephone directory, or similar publication, the publisher of the paper product; Section 18.2.2 Order of Obligation The following producers are subject to the Program in order of who is first obligated, if the product is sold or distributed in Colorado (except for paragraph E): (C) Producers of Paper Products (1) Publications. The obligated producer for paper products such as publications (magazines, newspapers, catalogs, telephone directories, or similar publications) is the publisher. However, print publications which primarily include content derived from primary sources related to news and current events are not covered



Covered Material Type	Specific Scenario	Producer Hierarchy (Statute and Regulation)
(c) booklets; (d) catalogs; (e) telephone directories; (f) newspapers; (g) magazines; and (h) paper used for writing or any other purpose. Paper products does not include newspapers used for a print publication that primarily include content derived from primary sources related to news and current events.	Paper used for writing or any other purpose	materials. Section 18.1.6 Definitions of Terms Used in this Section “Producer” means: (d) for the purposes of paper products not described in section 703(30)(c) of the Producer Responsibility Act: (I) the person that manufactures the paper product under the manufacturer’s own brand; or (II) if the paper product is manufactured by a person other than the brand owner, the person that is the owner or licensee of the brand or trademark under which the paper product is used in a commercial enterprise, sold, or distributed in or into the state, whether or not the trademark is registered in the state; “Brand owner” means the person who owns the brand which includes the person directing the manufacturing, including setting specifications for a paper product or a product’s packaging. person who owns the brand which includes the person directing the manufacturing, including setting specifications for a paper product or a product’s packaging. Section 18.2.2 Order of Obligation



Covered Material Type	Specific Scenario	Producer Hierarchy (Statute and Regulation)
		The following producers are subject to the Program in order of who is first obligated, if the product is sold or distributed in Colorado (except for paragraph E): (C) Producers of Paper Products (2) For other paper products that are not publications the obligated producer is determined in the following hierarchy: (a) Brand owner manufacturing or directing the manufacturing of the product; (b) Brand or trademark licensee manufacturing or directing the manufacturing of the product; (c) If neither (a) nor (b) applies, then the manufacturer of the product; or (d) If (a) through (c) do not apply, then the importer of the product. (3) There shall be only one obligated producer for a particular paper product.
Any Other Covered Materials	Any Other Covered Materials	Section 18.2.2 Order of Obligation (E) Producers of Any Other Covered Materials For any other producers of covered materials not obligated in (A)



Covered Material Type	Specific Scenario	Producer Hierarchy (Statute and Regulation)
		through (D), the producer is the person that first distributes the material in or into the state. If a product has two or more items that are associated with different brands and are marketed in a single package, the producer is the brand who is contracting the manufacturing of the product using packaging materials following the order of obligation in (A). Where the producer is a business operated wholly or in part as a franchise, the producer is the franchisor, if that franchisor has franchisees that operate in Colorado.



Exempt Materials

The following table, organized by product category, defines the materials that have been exempted from C.R.S §§ 25-17-701– 25-17-716 and 6 CCR 1007-2, Part 1, Section 18.

Product Category	Colorado
	Statutory Reference: C.R.S § 25-17-703. Definitions (13)(b) "Covered Materials" does not include: Regulatory References: Section 18.1.6 Definitions of Terms Used in this Section "Covered materials" includes: (a) packaging material, except as specified in section 703(13)(b) of the Producer Responsibility Act, and (b) paper products, except as specified in section 703(13)(b) of the Producer Responsibility Act. Section 18.3.2 Exempt Materials (A) Statutorily-Exempt Materials:
Beverage Containers	(V) Beverage containers subject to returnable container deposit, if applicable.



Product Category	Colorado
Packaging for Drug, Medical	(VII) Packaging material used to contain a product that is regulated as a drug, medical device or dietary supplement by the Federal Food and Drug Administration under the “Federal Food, Drug and Cosmetic Act”, 21 U.S.C. Chapter 9, §§ 301 – 399 ,



Product Category	Colorado
Devices & Nutritional Supplements	as amended or, any federal regulation promulgated under the Act or any equipment and materials used to manufacture such products. (VIII) Packaging material used to contain a product that is regulated as animal biologics, including vaccines, bacterins, antisera, diagnostic kits and other products of biological origin under the federal Virus Serum Toxin Act, 21 U.S.C. Chapter 5, § 151 Et seq., as amended. (XIV) Packaging material used to contain a product that is regulated as infant formula, as defined in 21 U.S.C. Chapter 9, § 321(z), as a medical food, as defined in 21 U.S.C. Chapter 9, § 360ee(b)(3), or as fortified nutritional supplements used for individuals who require supplemental or sole source nutrition to meet nutritional needs due to special dietary needs directly related to cancer, chronic kidney disease, diabetes, malnutrition or failure to thrive, as those terms are defined by the World Health Organization's "International Classification of Diseases" (Tenth Revision), as amended or revised, or any other medical conditions as determined by the commission by rule.



Product Category	Colorado
Paper and Paper Products	(III) Printed paper used to distribute financial statements, billing statements, medical documents or other vital documents required to be provided in paper form by applicable consumer protections laws or other state or federal laws. (IV) Bound books (XIII) Paper products used for a print publication that primarily includes content derived from primary sources related to news and current events;



Product Category	Colorado
Hazardous Products	(IX) Packaging material used to contain a product that is regulated under the federal Insecticide, Fungicide and Rodenticide Act, 7 U.S.C. Chapter 6, § 136 Et seq., as amended; (X) Packaging material used to contain architectural paint covered under a Paint Stewardship program in accordance with Part 4 of this Article 17; (XI) Packaging material used to contain a product that is required under state law to be sold in packaging material that meets the standards set forth in the Poison Prevention Packaging Act of 1970, 15 U.S.C. Chapter 39A, § 1471 Et seq., as amended.
Products Related to Specific Industry Sectors	(XII) Packaging material used to contain a portable electronic device, as defined in Section 10-4-1501, C.R.S. that has been repaired and reconditioned to be sold as a refurbished product. (VI) Packaging material used exclusively in industrial or manufacturing processes.
Food Service	(II) Paper products that, through their use, could become unsafe or unsanitary to handle.



Product Category	Colorado
Durable Packaging	(I) Packaging materials intended to be used for the long-term storage or protection of a durable product and are intended to transport, protect, or store the product for at least five years
Other	(XV) Any other material that, based on an analysis by the organization of the operational and financial impacts of the proposed changes and after consultation with the advisory board, the Commission determines by rule to not be a covered material.

Clarification on Colorado Exemptions for the following two categories of materials:

With respect to the exemption **C.R.S § 25-17-703 Definitions: (13)(b)** "Covered Materials" does not include **(III)** Printed paper used to distribute financial statements, billing statements, medical documents or other vital documents required to be provided in paper form by applicable consumer protections laws or other state or federal laws".

CDPHE has informed CAA that, this exemption is limited to the following financial documents based on [12 CFR Section 1030.31030.3 \(Regulation DD\)](#) which requires that these documents be provided in paper format:

- Periodic statements,
- Interest balance statements, and
- Subsequent disclosures / changes in terms statements.

Producers should not interpret this exemption to apply to paper receipts. CAA is unaware of any federal or state law which requires receipts to be provided in paper format.





1) With respect to the exemption **C.R.S. § 25-17-703 Definitions: (13)(b)** "Covered Materials" does not include **(XI)** Packaging material used to contain a product that is required under state law to be sold in packaging material that meets the standards set forth in the Poison Prevention Packaging Act of 1970, [15 U.S.C. Chapter 39A, § 1471 Et seq.](#), as amended".

CDPE has informed CAA that this exemption applies to packaging required under state law which is limited to marijuana products.

Exempt Producers

Businesses that meet one or more of the following criteria are exempt from the EPR statute in Colorado:

6 CCR 1007-2, Part 1, Section 18.1.6 Definitions of Terms Used in this Section

“Small business” means an individual business at a physical business location that has less than the total annual gross global sales as adjusted annually by the Consumer Price Index as specified in Section 1.8.2.

Colorado	
	Statute: C.R.S. § 25-17-713 Producer exemptions – rules. (1) A producer is exempt from the requirements of this part 7 if the producer is:
Small Business, Not for Profit, Government,	(a) A person with realized gross total revenue less than the limit, not including on-premises alcohol sales, during the prior calendar year. The producers’ dollar limitation exemption is adjusted annually based on the percentage change in the Department of Labor’s Bureau of Labor Statistics Consumer Price Index (CPI) for Denver-Aurora-Lakewood, per 6 CCR 1007-2, Part 1, Section 1, Rule 1.8.2 Annual updates to the small business dollar limitation exemption can be found by following this link: 6 CCR 1007-2, Part 1, Section 1 (b) A person that has used less than one ton of covered material for products sold or distributed within or into the state during the prior calendar year; (c) The state or a local government;



Colorado	
	(d) A nonprofit organization
Industry Specific Exemptions	(e) An agricultural employer, as defined in Section 8-3-104(1), C.R.S. (2024) regardless of where the agricultural employer is located, with less than five million dollars in realized gross total revenue in the state from consumer sales of agricultural products sold under the brand name of the farmer, egg producer, grower or individual grower cooperative. (g) A builder, a construction company or construction contractors.
Food Service	(f) An individual business operating a retail food establishment that is located at a physical business location and that is licensed under Section 25-4-1607 (1)(a), C.R.S. (2024), or sections 32-106.5(1) to Section 32-106.5(5) of the Denver Code of Ordinances. (1) This includes a retail food establishment preparing or serving food in individual portions for immediate on- or off-premises consumption and assessed an annual fee based on the schedule in section 25-4-1607(1)(a), C.R.S. (2025). (2) Where the producer is a business operated wholly or in part as a franchise, the franchisee that is an individual business at a physical business location in the state.



Business Relationship Scenarios

The following business relationship scenarios have been prepared by CAA to help producers interpret the definitions of covered products and the hierarchies of obligated producer for those materials in typical business relationships. These scenarios consider both the statutory and regulatory language and are intended as guidance for informational purposes only and do not constitute legal advice.

Obligated Producer Scenarios for Products Sold at Retail

Scenario		Obligated Producer in Colorado
1.	Food and Beverage Company A manufactures cereal at its plant in the United States. Company A packages it into boxes bearing its brand, puts it into transport packaging (boxes, pallets, pallet wrap) and ships it to Retailer B . Retailer B sells it to residential consumers.	As the brand owner directing or performing the manufacturing of the product, Company A is the obligated producer for all packaging except the tertiary/transport packaging (shipping boxes, pallets and pallet wrap), as business-to-business materials are exempt.



Scenario	Obligated Producer in Colorado
2. Food and beverage Company A contracts with Food Manufacturer B (both located in the U.S.) to produce jam and packages it into jars bearing Company A's brand in accordance with a simple contract. Manufacturer B subsequently applies transport packaging and ships the product to Retailer C, who sells the jam to residential consumers.	As the brand owner directing or performing the manufacturing of the product through a contract with Manufacturer B, Company A is the obligated producer for all the packaging except the transport packaging used to ship to Retailer C, as business-to-business materials are exempt.
3. Food and beverage Company A licenses its brand to Manufacturer B, which produces ice cream and packages it bearing Company A's brand in accordance with a licensing agreement. Manufacturer B subsequently applies transport packaging and ships the product to Retailer C, who sells the ice cream to residential consumers.	As the licensee of Company A's brand, Manufacturer B is directing or performing the manufacturing of the product and is therefore the obligated producer for all the packaging except the transport packaging used to ship to Retailer C, as business-to-business materials are exempt.



Scenario	Obligated Producer in Colorado
4. Consumer goods Company A, located <i>outside</i> of the U.S., manufactures roller skates. Company A packages the roller skates into boxes bearing its brand and puts them into transport packaging. Importer B imports the product into the U.S. and sells the roller skates to Retailer C, who sells them to residential consumers.	As the first to import the roller skates, Importer B is the obligated producer for all packaging except the transport packaging used to ship to Retailer C, as business-to-business materials are exempt.
5. Beverage Manufacturer A manufactures carbonated beverages in plastic bottles at its U.S. manufacturing plant. It packs the beverages into boxes bearing its brand, puts them into transport packaging (boxes, pallets, pallet wrap) and ships to Retailer B. Retailer B sells the beverages to residential consumers.	As there is no returnable container deposit regulation in Colorado at this time, Beverage Manufacturer A is the responsible producer for the plastic beverage bottles and any secondary packaging used, such as paperboard or plastic wrap used to contain multiple beverage bottles.



Obligated Producer Scenarios for Service Packaging and Food Serviceware

	Scenario	Colorado
1.	Packaging Company A in the U.S. produces branded paper grocery bags for Retailer B , also located in the U.S. Retailer B uses its branded paper grocery bags to bag consumers' groceries.	As the brand owner directing or performing the manufacturing of the bags, Retailer B is the obligated producer for the paper grocery bags.
2.	Packaging Company A in the U.S. produces unbranded coffee cups for Retailer B , also located in the U.S. Retailer B uses the unbranded coffee cups for consumer beverages.	As the company directing or performing the manufacturing of the coffee cups, Company A is the obligated producer for the coffee cups used by Retailer B .



	Scenario	Colorado
3.	Packaging Company A located outside the U.S. produces unbranded food serviceware. Importer B in the U.S. distributes the unbranded food serviceware to Retailer C. Retailer C uses the unbranded food serviceware to serve food to consumers.	As the first to sell the unbranded food serviceware into the state, Importer B is the obligated producer for the unbranded food serviceware sold to Retailer C.
4.	Packaging Company A in the U.S. produces unbranded coffee cups for Retailer B, also located in the U.S. Retailer B uses the unbranded coffee cups for beverages sold to consumers.	As the company directing or performing the manufacturing of the unbranded coffee cups, Company A is the obligated producer for the coffee cups.



5.	Packaging Company A in the U.S. produces a single-use bowl for chain Restaurant B with Restaurant B's logo on it. The branded bowls are used to serve food to Restaurant B's consumers. Packaging Company A also provides unbranded lids for the bowls supplied to Restaurant B, but the lids are sold separately and are a generic format that can be selected from a catalog. Restaurant B uses the lids to provide food to its consumers.	As the company directing the manufacturing of the bowls, Restaurant B is the obligated producer for the branded bowls. As the company directing or performing the manufacturing of the unbranded lids, Company A is the obligated producer for the lids.
6.	Packaging Supplier A delivers unbranded plastic bowls, trays, clamshells, and similar containers to Retailer B for use in Retailer B's stores to package products that are prepared in-store such as deli and bakery items. Retailer B then applies a label identifying Retailer B's brand to the product's packaging prior to sale to consumers.	As the company directing or performing the manufacturing of the unbranded bowls, trays and clamshell packaging, Company A is the obligated producer for those covered materials. As the company directing or performing the manufacturing of the branded labels, Retailer B is the obligated producer for the labels.



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| <p>7. Packaging Company A in the U.S. produces a single-use take-out cup for chain Restaurant B, also in the U.S. Based on Restaurant B's specification, the cup includes Restaurant B's logo, as well as Company C's logo. Company C is the beverage company that supplies fountain drinks to Restaurant B. The bottom of the cup also has Company A's logo.</p> | <p>As the company directing or performing the manufacturing of the take-out cups, Restaurant B is the obligated producer for the cups.</p> |
|---|---|



Obligated Producer Scenarios for Products Sold Via E-Commerce

Scenario	Obligated producer in Colorado
1. Consumer goods Company A manufactures toothpaste at its plant in the U.S. Company A packages it into boxes bearing its brand, puts it into transport packaging (boxes, pallets, pallet wrap) and ships it to Internet Seller B. Internet Seller B in the U.S. ships the toothpaste to residential consumers in consumer transport packaging (box).	As the brand owner directing or performing the manufacturing, Company A is the obligated producer for all packaging except the transport packaging used to ship toothpaste to Internet Seller B, as these materials are exempt. Internet Seller B is the obligated producer for the consumer transport packaging (box) used to ship the toothpaste to the residential consumer.
2. Retailer A operates an online platform where consumers can buy groceries for home delivery. Consumer B orders groceries for home delivery. Retailer A packages the groceries and delivers them to Consumer B.	The brand owner, licensee, or first importer is the obligated producer for the packaging associated with the grocery products purchased by Consumer B (the same responsibility as if Consumer B went to the store and purchased the groceries themselves). Retailer A is the obligated producer for the transport packaging used to deliver the groceries to Consumer B.



Scenario	Obligated producer in Colorado
3. Pottery Seller A produces pottery under its own brand, which it sells by listing the pottery on E-Commerce Platform B's marketplace website. Customer C orders pottery from Pottery Seller A. Pottery Seller A ships the pottery to Customer C.	As the party directing or performing the manufacturing of the pottery, Pottery Seller A is the obligated producer for all packaging associated with the pottery, including the transport or shipping packaging used for delivery to Customer C.
4. Electronics Manufacturer Company A produces and packages consumer electronics products under its own brand. E-Commerce Platform Company B sells these electronics on its website to Customer C by shipping the electronics from its own fulfillment center.	As the brand owner directing or performing the manufacturing of the electronics, Electronics Manufacturer Company A is the obligated producer for all the packaging associated with its electronics products sold to Customer C, with the exception of the transport packaging. E-Commerce Platform B is the obligated producer for all shipping materials used to ship the electronics to Customer C.



Scenario	Obligated producer in Colorado
5. Marketplace Platform Company A sells its branded water bottles, manufactured under contract by Manufacturing Company B, directly to consumers who purchase the water bottles through online orders on Company A's e-commerce platform.	Company A is directing the manufacturing of the water bottles manufactured under contract by Manufacturing Company B. As the company directing the manufacturing, Company A is the obligated producer for all of the packaging associated with the water bottles sold to consumers on its e-commerce platform.
6. Toy Company A manufactures toys at its plant in the United States. Toy Company A packages the toys into boxes and then into corrugate delivery boxes for shipping to residential consumers. Toy Company A drops the boxes of toys at Courier Company B's location and Courier Company B (without adding any additional packaging) delivers the toys to	As the brand owner directing or performing the manufacturing, Toy Company A is the obligated producer for the primary and secondary packaging associated with the toys. Toy Company A is also the obligated producer for the corrugate delivery boxes used for delivery to residential consumers. Courier Company B is not the obligated producer for the corrugate delivery boxes since it did not add that material – it is only providing delivery services.



Scenario	Obligated producer in Colorado
residential consumers.	
7. Courier Company C manufactures shipping envelopes and boxes, both with and without its own brand, which are primarily used for delivery of products via e-commerce or remote distribution. Courier Company C supplies these products to Company D's distribution centers and retail locations in Colorado, where Company D packs and ships products on behalf of its customers. Courier Company C's shipping envelopes and boxes are also sold at retail locations to residential consumers who purchase these shipping materials for their own use.	For products sold or distributed in Colorado through an internet transaction, the person that packages or ships the product to the residential consumer is the producer for the packaging material used to ship a product to a residential consumer, Therefore, Company D, as the company that packages and ships the product to consumers, is the obligated producer for the shipping material. For the paper shipping envelopes and boxes both branded and unbranded sold to residential consumers at retail, Courier Company C is the obligated producer as it performs or directs the manufacturing of that material (plastic envelopes purchased as a product are not a covered material).



Scenario	Obligated producer in Colorado
8. Food Company K assembles meal kits consisting of fresh meat, produce and pre-packaged salad dressing made by Salad Dressing Company M. Food Company K organizes the meal kits along with Company M's pre-packaged salad dressing into corrugate boxes, puts the meal kits into corrugate boxes and delivers them to residential consumers' homes.	As the company assembling the food kits into corrugate boxes, Food Company K is the obligated producer for the corrugate boxes used to deliver the meals to residential consumers. As the brand owner directing or performing the manufacturing of the salad dressing, Salad Dressing Company M is the obligated producer for all the salad dressing packaging in the meal kit.



Obligated Producer Scenarios for Paper and Paper Products

Obligated Producer in Colorado		
1.	Paper Product Company A located in the U.S. sells paper to Printer B . Printer B produces simple, one-page 8.5x11" flyers for Company C . (the publisher) in the U.S. and mails them to residents.	As the publisher, Company C is the obligated producer for the flyers.
2.	Greeting cards are manufactured by and bear the brand of Company A , which is located in the U.S. Company A sells its greeting cards with envelopes to Retailer B , who sells the greeting cards to consumers.	As the brand owner directing or performing the manufacturing of the greeting cards and envelopes, Company A is the obligated producer for the greeting cards and paper envelopes.
3.	Appliance Manufacturer A sells its own branded appliances to consumers through Retailer B . The appliances are accompanied by an owner's manual, which is provided to the consumer with the appliance.	As the publisher of the owner's manual, Appliance Manufacturer A is the obligated producer for the owner's manual (as well as the primary packaging used for the appliance).



4.	Paper Product Company A located in the U.S. sells paper to Printer B. Printer B produces both financial statements and glossy brochures for Bank C, which distributes them to its customers.	In Colorado, many printed paper statements produced by financial institutions are covered materials. Printed brochures are also a covered material. As the publisher of both the financial statements and the brochures, Bank C is the obligated producer for the brochures and the financial statements that do not meet the exemption in C.R.S. 25-17-703(13)(b)(III). With respect to exemption 25-17-703 Definitions: (13)(b) "Covered Materials" does not include (III) Printed paper used to distribute financial statements, billing statements, medical documents or other vital documents required to be provided in paper form by applicable consumer protections laws or other state or federal laws", this exemption is limited to the following financial documents generated by banking institutions based on 12 CFR Section 1030.3 (Regulation DD): • periodic statements, • interest balance statements, • subsequent disclosures/ changes in terms
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Appendix A: Determining the Party who Directs the Manufacturing under EPR Law in Colorado

The Colorado EPR regulations use the text “directing the manufacturing” as one key factor in determining the responsible producer for covered materials.

The question of responsibility often arises when a contract manufacturer is involved (e.g., producing a private label product) or when multiple brands may be included on a product (e.g., a cup that includes a restaurant’s brand and the cup manufacturer’s brand).

The text “directing the manufacturing” refers to the party that provides instruction through a form of a negotiated supplier agreement that sets specifications for their packaging which at a minimum covers basic quality control over its brand and typically includes additional direction regarding a product or package.

Contract Manufacturing

In most cases, the brand owner (i.e., private-label brand or name brand) even when they outsource manufacturing of the product or packaging to a third party, is still the obligated producer for the covered materials. The unique nature of the role played by the brand owner in procuring manufacturing services on its behalf imposes on it the role of “directing the manufacturing”.

Brand Licensing

Where the brand owner merely licenses its brand to a manufacturer without directing production of the underlying product and packaging —the Manufacturer Licensee—is the producer. In these situations, Manufacturer Licensees typically distribute and sell the products under the brand name



Unique Role of Brand Owner

- No third-party contract manufacturer produces an item unless they are directed to do so by a brand owner or a party working on a brand owner's behalf. The fact that this manufacturing activity only takes place after an order is placed constitutes the role of "directing the manufacturing" of those products.
- Brand owners set specifications for their products in order to protect their trademark. Brand owners specify or approve the overall packaging for the third-party manufacturer to use on its products in order to maintain oversight not only of the public perception of its brand but also the quality of the products being manufactured under its name.
- The third-party manufacturer will apply the brand owner's intellectual property to the product packaging which includes directing how a logo is used, color pallet and graphic design specifications. In some cases, packaging design review and approval even goes through the brand owner's internal or agency approvals process. Specifying the design guidelines to which a manufacturer must adhere constitutes the action of "directing the manufacturing."
- Brand owners exert influence over their contract manufacturers by specifying certain requirements which might include:
 - Maintenance of certain facility environmental, safety and quality standards.
 - The imposition of timelines for production and a requirement to use certain shipping processes.
 - Requirement to notify the brand owner of any manufacturing failures and/or system maintenance interruptions.

The nature of the above-noted control over the production and distribution of product and packaging requirements clearly demonstrates direction on the part of the brand owner.

Consistent with Liability Law

Holding the brand owner responsible under EPR legislation is also consistent with product liability law which is well established. The law regularly holds brand owners liable for products that are manufactured by third-party



manufacturers. Product liability is placed on the party that authorizes the use of its trademark, particularly when the product bears no indication that it was manufactured by any other entity. It has been established through legal decisions that where a licensor controls the design, manufacture or quality of the merchandise manufactured on its behalf it is the liable party for any defective goods.

EPR laws align with these product liability principles since brand owners play a significant role in bringing its branded products to the market. Just like a trademark owner cannot evade liability for a dangerous product by contracting out manufacturing, neither should a brand owner avoid its EPR obligations by assigning them to a contract manufacturer.

Implementation and Enforcement Considerations

Assigning EPR responsibilities to a contract manufacturer makes the successful implementation and enforcement of the statute and regulations virtually impossible. The contract manufacturer's name and identity are not identified on the packaging or product meaning that neither the regulator nor CAA would be able to identify the responsible producer for that covered material. In fact, in many cases brand owners go to great lengths to ensure the identity of their contract manufacturers are protected.

Conclusion

CAA recognizes that there is a huge diversity of supply chain arrangements whereby contract manufacturers are used to produce other companies' products and packaging. In some cases, the relationship between the brand owner and the actual manufacturer may appear to be several steps removed. In fact, in some cases a brand owner's manufacturing and brand identity specifications may only be posted on a website and not contained in a contract between the brand owner and the manufacturer.

But regardless of the supply chain arrangements and where the product and manufacturing specification reside, ultimately a branded product is only put on the shelf because the brand owner directed that it be manufactured and should therefore assume all legal responsibilities associated with that activity including its producer responsibilities





under the Colorado EPR statute.



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Appendix B: Examples of Covered and Not Covered Materials

The following examples that distinguish between covered and not covered materials reflect CAA's interpretation of both the statutory and regulatory language and are intended as guidance for informational purposes only and do not constitute legal advice.

Item	Reusable Candle Holder	Aluminum Tea Light Holder	Ceramic Flowerpot	Lipstick Tube/ Lip Balm Jar	Mascara Tube and Wand/Makeup Palette
					
CAA's Assessment of Covered or Not Covered	Not Covered	Covered	Not Covered	Covered	Covered



Item	Non-Durable Tape Dispenser	Toner Cartridge	Report Cover	Binder	Binder Inserts	Disposable Lighter
						
CAA's Assessment of Covered or Not Covered	Covered	Not Covered	Not Covered	Not Covered	Not Covered	Not Covered



Item	Spray Paint Container	Cheese Wax	Sausage Casing	Measuring/ Dosing Cup (unless integrated into a packaging component such as a closure)	Paper Tablecloths/ Place mats	Silica Packets
						
CAA's Assessment of Covered or Not Covered	Covered	Covered	Not Covered	Not Covered	Not Covered	Not Covered



Item	Ice Packs	Temperature Indicator	Non-durable Rigid Plastic Container	Durable Glass Food Container	Steel Bento Box
					
CAA's Assessment of Covered or Not Covered	Not Covered	Not Covered	Covered	Not Covered	Not Covered

